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-:FOR UPSC IAS ASPIRANTS:-

"AVOID POLITICAL & IRRELEVANT ARTICLES"

Please Try To Read This Completely in 40 Minutes If You

Can't So Then You Have To Increase Your Efforts

All the topics of this UPSC IAS Edition are directly or indirectly important for the prelims & main examination.

There are some topics which can be coded in answer writing of other topics in the main exam.

MOVING TO END WEST ASIA CRISIS

US and Iran signal deal near, differ on its terms

Rebuffed Iranian drone attack on Indian ships leaving Hormuz, unacceptable, says US President

Parisa Hafezi, Steve Holland & John Irish
Dubai, Washington, Paris, June 12

E. EXPLAINED

Nuclear plan fate, sanctions relief key

THE UNITED States and Iran Friday appeared to have sharply different understandings of the contents of an emerging pact to end their war, though both sides signalled that an agreement was close. Pakistan, which has for weeks sought to broker a deal, said a final text of a peace agreement between the United States and Iran had been reached, although there was no immediate confirmation from Washington or Tehran. "Pakistan is now working »CONTINUED ON PAGE 2

As the US and Iran look to sign a deal to end their military conflict, the stumbling block appears to be the division over the specific terms regarding the dismantling of the Iranian nuclear programme and sanctions relief. There remain gaps between what Washington says Iranians have agreed to do and what Tehran insists it has the right to retain.

3 ATTACKS IN 4 DAYS NEAR OMAN

India summons top US diplomat second time to protest strikes on ships

Shubhajit Roy
New Delhi, June 12

FOR THE second time in less than 48 hours, India Friday summoned the US charge d'affaires (CDA) and lodged a "strong protest" over the series of attacks by US naval forces on commercial vessels carrying Indian mariners in the Gulf of Oman.

On Thursday, the government confirmed the death of three Indian seafarers, reported »CONTINUED ON PAGE 2



US charge d'affaires Jason Meeks at the MEA, Friday. ANI

At crash site, families and friends sift for memories and a life that once was

Leena Misra, Brendan Dabhi & Parimal A Dabhi
Ahmedabad, June 12

SITA PATNI and Amanda Donaghey sat beside each other at the foot of the burnt shells of the medical college hostel buildings on Friday, grieving for their sons. Donaghey, a British national, held a collage of her son's photographs that read "Memories of Fiongal", as she accepted

condolences with folded hands. Fiongal Greenlaw-Meek, 39, and his partner Jamie, 45, were returning to London after celebrating their wedding anniversary in India. They were among the 241 who died when Air India's Ahmedabad-Gatwick Boeing 787 Dreamliner crashed shortly after take-off on June 12 last year.

AIR INDIA CRASH
a year later

Sita Patni's 13-year-old son, Aakash, had been sleeping on the pavement next to the family's tea stall when the plane crashed nearby, into the hostel mess of BJ Medical College. Fiery debris from the crash fell on Aakash, who was among the 19 killed on the ground. Patni's arm still bears »CONTINUED ON PAGE 2



NATION
PAGE 9
WAIT FOR ANSWERS
CONTINUES AS AAIB
SAYS INVESTIGATION
STILL UNDERWAY



Union Home Minister Amit Shah, J&K L-G Manoj Sinha and NSA at a meeting on the upcoming Amarnath Yatra, in New Delhi, Friday. PTI

Shah tells agencies to ensure foolproof security during Amarnath Yatra

Express News Service
New Delhi, June 12

UNION HOME Minister Amit Shah on Friday directed the security agencies to establish a multi-layered security grid along the Amarnath Yatra route while ensuring adequate facilities for pilgrims. Chairing a meeting on the preparedness for the Yatra starting on July 3, Shah said the Centre was committed to ensuring the highest level of security and a smooth pilgrimage. The Amarnath Yatra is one of the country's one of the most significant annual pilgrimages, drawing lakhs of devotees each year. The 57-day pilgrimage to the 3,880-metre-high cave shrine in the Himalayas requires a massive security deployment, with the Central and Union Territory agencies working in close tandem. Pilgrims travel through the traditional 48-km Nunwan-Pahalgam route in Anantnag district and the shorter but steeper 14-km Baltal route in Ganderbal district. During the meeting, Shah also asked the CAPFs, Jammu

and Kashmir Police and other security agencies that they should work in close coordination to put in place a foolproof security system. Shah called for the extensive use of drones, CCTV cameras, surveillance systems and other modern technologies to strengthen arrangements. He also directed that senior officers of various CAPFs and the Jammu and Kashmir Police remain deployed at camp sites to continuously oversee the situation during the Yatra. Shah also reviewed preparedness related to registration, accommodation, health services and disaster management, and said all essential services for pilgrims must be ensured. Shah further asked officials to register local persons and animals associated with the Yatra, issue them QR code-based identity cards, and organise camps for the health screening of animals. Movement of pilgrim batches, he said, should be regulated strictly in line with weather conditions and forecasts. He also directed that security should also be strengthened at key tourist locations.

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US, Iran

closely with both sides to finalise the next steps,” Prime Minister Shehbaz Sharif said in a post on X. Leaked terms of the proposed memorandum of understanding outlined by Western, Pakistani and Iranian sources Friday appeared to favour Iran, drawing criticism from US President Donald Trump, who called the reports inaccurate. While there were minor differences in the accounts, all appeared to offer Tehran much of what it has demanded so far, with Trump appearing to win little of what he has sought, beyond the reopening of the Strait of Hormuz, which Iran shut after the US and Israel launched attacks in February. Trump said leaked comments on a deal did not represent what had been agreed to. “The terms that Iran leaked out to the fake news have nothing to do with the terms that were agreed to, in writing,” Trump wrote on his Truth Social platform. “Very dishonorable people to deal with,” he said of the Iranians. (ENS adds: In the post, he also said, “Also, their totally reuffed drone attack last night against Indian ships leaving the Hormuz Strait is totally unacceptable. They better get their act together, and fast.”) However, shortly afterwards, Trump reposted a social media post by Iranian Foreign Minister Abbas Araghchi, in which Araghchi said a memorandum to end the war had never been closer – and also warned against speculation over its contents until it was finalised. A Western source, an Iranian source and a Gulf source said a key issue yet to be resolved was language on ceasing hostilities in Lebanon. Iran has demanded Israel end a campaign against Iran’s allies, the Hezbollah militia. Under the terms of the text described by other sources to Reuters, the US would immediately begin providing Iran with

billions of dollars in unfrozen assets, and waive sanctions on its oil exports, in return for Iran opening the strait. Discussion of Iran’s nuclear programme would be set aside for a 60-day period of talks on a final settlement, there would be a discussion of war reparations to Tehran, and the dropping of longstanding demands for curbs on Iran’s missile programme, the sources said. Washington has previously demanded Iran give up its stockpile of highly enriched uranium. But none of the versions of the text reviewed by Reuters includes mention of it, and the sources said the demand had been explicitly excluded for now. But a senior US official, describing the agreement, said that the uranium stockpile “will be destroyed and removed” and Iran’s nuclear programme would be dismantled. “None of their money released until they perform. Strait of Hormuz will be open. No Iran funding of terrorist groups,” the official said. “This is what they have agreed to. This is a perform-

– REUTERS

Top US diplomat

missing a day earlier from MT Settebello after it was attacked — of the 24 Indians on board, 21 were rescued. Also Thursday, US forces fired Hellfire missiles into the engine room of MT Jalveer, a Guinea-Bissau-flagged tanker, near the Oman coast. All 20 Indian seafarers on board were safely evacuated. CDA Jason Meeks was summoned to the Ministry of External Affairs where K Nagaraj Naidu, Additional Secretary (Americas division), conveyed India’s concerns. The MEA, which usually doesn’t use the word “summoning” for calling in foreign diplomats, said in a statement: “The US Charge d’Affaires, Mr Jason Meeks, was summoned to the Ministry of External Affairs today. A strong protest was lodged

on Wednesday following an attack earlier in the day by American forces on MT Settebello. The war in West Asia, triggered by the US-Israeli attack on Iran on February 28 and the subsequent naval blockade near the Strait of Hormuz, have jeopardised Indian lives and livelihoods, apart from the economic impact. Since Indian seafarers are part of the global shipping industry, they have become casualties in the ongoing conflict. At least 13 Indians have been killed since the start of the war, and one remains missing. The sense in Delhi is that such attacks cannot go unchallenged. Maritime security and the safety of seafarers are a major concern in the Strait of Hormuz area. The strait is the key channel through which 20 percent of the global energy supply passes in large carriers. Qatar, UAE, Kuwait have all been negatively im-

pacted by the closure of the strait, and that has led to a global rise in prices of oil and gas, and impacted the supply of LPG to India and other countries. The attacks on commercial vessels, the resumption of military strikes by US and Iran and the issue of maritime security frame both diplomatic and economic challenges for G7 leaders meeting next week at Evian-les-Bains in eastern France – Prime Minister Narendra Modi and President Donald Trump will be among world leaders at the meeting. Modi is undertaking an official visit to France and Slovakia from June 13 to 18. In April, the Indian government had summoned the Iranian envoy to lodge a protest over the targeting of Indian vessels, and had conveyed “deep concern”. This was after the Iranian navy fired on passing vessels, two of them India-flagged carriers.

Crash site

the burns she sustained while trying to save her son. Behind the grieving mother on Friday were photographs of Aakash, with visitors coming to pay their respects. A large poster announced a bhajan event on Friday evening in the New Lakshminagar flats, where the family lives, barely 50 metres from the crash site. Family members and loved ones of several victims of the tragedy gathered on Friday at the crash site in the Meghaninagar area of Ahmedabad to mark one year since the crash. Police allowed family members to walk past the cordon, into the site. Navigating the heap of debris that is still there, the mourners walked up to piles of earth, burnt metal, and rubber, to spend a few quiet minutes. Wearing a beige thobe, Dr Salim Mister arrived by train from Bharuch to pay homage to his wife, Sajeda, who was a passenger on the plane. Walking to the site on the sultry afternoon, the sweat on his face merged with tears. “*Ek saal ho gaya* (a year has passed)... She was going to be with my daughter, who was pregnant and settled in London,” he says. Mister has three daughters, two of whom are settled in London, and a son, who is in Canada. “We are keen to know what will come out in the final investigation report... The pilot must have naturally tried till the end to save [the passengers], and his own life was also at stake,” he tells *The Indian Express*. Another man grieving the loss of his wife in the crash was

Ahmedabad to catch flights to different destinations. While Milan was headed to Mumbai for work, Anju was flying to London to meet her elder daughter, Nimmi. He recalls that his sister had, at 1.09 pm, put a status on social media, saying, “*Aadmi kuch nahi, ek khilauna hai* (Man is nothing but a toy).” “My flight to Mumbai was at 11.45 am and Anju’s flight, AI 171, was scheduled for 1.10 pm, but was delayed. I landed in Mumbai at 1.15 pm, and when I came out of the airport at 1.50 pm, I heard about the crash,” Milan told *The Indian Express*. Anju, 56, was one of nine siblings — eight sisters and a brother. Their elderly parents live in Haryana. She lost her husband in 2021, and has two daughters: Nimmi, who lives in the UK, and Honey, who is in India. Milan recalls having spoken to her on the flight. She had ordered a masala dosa but wasn’t in the mood to eat it. “Anju didi video-called our mother from the airport, but she could not pick up the call, and she regrets it to this day,” he says. Mukesh Patni, who drives an autorickshaw, arrived to pay homage to his mother Jiviben, 68, whose poster hung outside the crash site. “My mother lived in a small hut nearby. When the plane crashed, she was alone and cooking a meal. I learned about the crash on social media and immediately rushed, but my mother had died by then,” says Patni. “Today, I came to pay my respects to my mother and all others killed in the crash. We have received compensation, but we want to know the reason behind the crash. The investigation report is not out yet.”

Among the early visitors was British High Commissioner to India, Lindy Cameron, who laid a bouquet of flowers outside the closed gates and paid obeisance. Fifty-two British citizens died in the crash. The lone survivor, Vishwas Kumar Ramesh, was also a British citizen. Former Gujarat chief minister Vijay Rupani’s daughter, Radhika Mishra, was also among the visitors, as she arrived to pay her respects at the site of her father’s death. As the sun began to go down, the number of people at the site rose, as families streamed in with photographs, some garlanded, and placed them on the niche in the main wall, outside the gates. While some families went to the mess building and laid flowers at a corner underneath the sight of the collapsed overhead tank, others, determined to say a prayer inside the premises, were led to the back of the hostels over a mound of sand to whisper their grief amid the charred cars and bikes in the parking lot. By about 5.30 pm, a large number of families had gathered at the spot, with a pastor saying a prayer on one side of the gate. On the other side, in New Lakshminagar, preparations for the bhajan event had begun. Outside the soot-covered mess building lay heaps of mattresses, burnt plastic tables and chairs, an intact mixer jar, a pan, and several everyday items. Every hour, the sound of planes flying overhead made some heads turn upwards. Around 1 pm, an Air India aircraft flew overhead, causing chatter among the locals. “That day, it flew very low,” said a young boy from New Lakshminagar.

Heat, dust storm, then rain: Decoding Delhi-NCR’s ‘erratic’ weather in June

Sophiya Mathew
New Delhi, June 12

AFTER DAYS of punishing heat, Delhi-NCR woke up to cooler air and rain on Friday. Late night, too, the entire region was placed under a red alert, as a powerful thunderstorm system swept across North India, bringing strong winds, lightning, duststorms and widespread rainfall. As per IMD, Palam in Delhi recorded gusts up to 76 kmph.

The timing, however, raised a question: How did the Capital cool down just as the emergence of El Niño, a climate phenomenon linked to weaker monsoons and hotter weather over parts of India, was confirmed?

To understand why Delhi’s weather has swung repeatedly between intense heat, dust storms and thunderstorms this pre-monsoon season, it is important to look at both the weather systems shaping conditions across North India and the broader climate signals emerging elsewhere.

Sudden cooling

The immediate reason was a fast-moving squall line, a chain of intense thunderstorms, which developed over Punjab on Thursday evening and travelled eastwards across Haryana into Delhi-NCR overnight.

The system brought light to moderate rainfall to many parts of Punjab and Haryana, accompanied by strong winds, including gusts reaching 111 kmph in Sangrur. Southeasterly winds gusting up to around 65 kmph prevailed over Delhi.

Krishna Mishra, a senior scientist at the India Meteorological Department (IMD), explained that a squall line is a fast-moving, continuous line of thunderstorms that can extend across hundreds of kilometres. Such systems are capable of producing intense but short-lived weather, including torrential rain, lightning, straight-line winds and, at times, hail.

Temperature drop

The squall had a direct impact on temperatures.

Safdarjung, Delhi’s base weather station, recorded a minimum temperature of 22.8 degrees Celsius, 5.2 degrees below normal and 7.2 degrees lower than the previous day.

Palam recorded 21.6 degrees Celsius, 6.5 degrees below normal, while Lodhi Road and Ridge recorded 22 degrees Celsius and 20.9 degrees Celsius respectively. Across the city, minimum temperatures fell by around 7-8 degrees Celsius within 24 hours.

The maximum temperatures saw a significant dip as well: Ayanagar recorded a high of 33.2 degrees Celsius, eight degrees below normal; followed by Pusa, which saw a six degrees dip at 34.7 degrees Celsius. Safdarjung recorded a

• Skywatch



Forecast: June 13, 2026

Partly cloudy sky. A spell of very light to light rain likely.

MAX: 36-38

1.9°C below normal

MIN: 22-24

6°C below normal

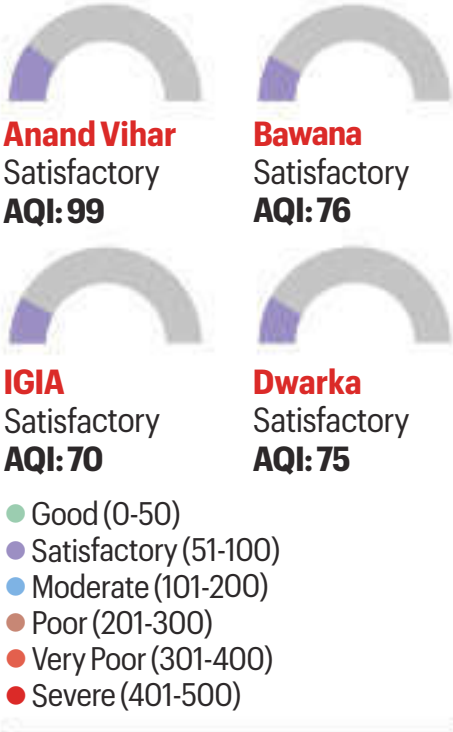
•Sunrise: 5:23 AM (June 14)

•Sunset: 7:20 PM (June 13)

•Moonrise: 4:01 AM (June 14)

•Moonset: 5:36 PM (June 13)

• AQI Tracker



high of 34.6 degrees Celsius, five notches below normal.

The combination of cloud cover, rainfall and rain-cooled winds contributed to the sharp drop in temperatures.

Unusual weather?

In recent weeks, Delhi has experienced repeated episodes of heat, dust storms, thunderstorms and abrupt temperature fluctuations as western disturbances interacted with moisture-laden winds and intense surface heating. Such conditions, however, are typical of the transition period before the monsoon, which is expected to have an onset over Delhi on June 30.

The IMD, late Friday, warned that duststorms and thunderstorms accompanied by moderate to heavy rainfall and lightning are very likely across the entire Delhi-NCR, with winds of 60-80 kmph gusting up to 100 kmph.

The warning, issued shortly after 11 pm, covered Delhi and adjoining districts of Haryana, western Uttar Pradesh and eastern Rajasthan.

El Niño

The larger climate shift could play a role in coming months over Northwest India’s weather. As per the US National Oceanic and Atmospheric Administration (NOAA), there is a 63% chance of a very strong El Niño during November-January, potentially placing the event among the strongest observed since reliable records began in 1950.

Survey to cover around 30,000 households across Ghaziabad

Vaccine derived polio virus originates from oral polio vaccine, which contains a weakened live polio virus. After vaccination, it can briefly replicate in the gut and be excreted in stool.

El Niño emerges in Pacific Ocean, to intensify during SW monsoon: IMD

Anjali Marar
Bengaluru, June 12

THE EL NIÑO phenomenon in the equatorial Pacific Ocean, which influences weather patterns worldwide, including the Indian monsoon, has developed, the India Meteorological Department said on Friday. It is expected to strengthen further during the southwest monsoon season, the IMD said in its El Niño Southern Oscillation (ENSO) bulletin.

El Niño, during which the surface waters of the equatorial Pacific Ocean, off the north-western coast of South America gets unusually warm, is known to suppress rainfall over the Indian region, besides causing a variety of impacts on global weather events. It is because of this El Niño that IMD has forecast a below-normal rainfall for the ongoing monsoon season.

The IMD declaration came a day after the emergence of El Niño was made public by the US-based National Oceanic and Atmospheric Administration (NOAA). “El Niño would peak during the November-January period,” NOAA had said in its monthly ENSO bulletin. NOAA has predicted the El Niño strength to reach its peak and touch the ‘very strong’ category during November-January 2027. ‘Very strong’ El Niño is cate-



Fire Brigade personnel participate in a rescue drill at Girgaon Chowpatty as part of preparations to tackle emergencies during monsoon, in Mumbai on Friday. PTI

gories and alternating phases. When the temperature in one of the regions along the equatorial Pacific Ocean region, known as a Niño 3.4 region, surpasses 0.50°C, an El Niño is declared.

“El Niño developed over the past month (May), as confirmed by the above-average sea surface temperatures across the central to eastern equatorial Pacific Ocean. The latest weekly Niño 3.4 index value was +0.7 degree Celsius,” NOAA said. The temperatures along other regions of the equatorial Pacific Ocean measured +0.7°C and +2.1°C along the easternmost region.

The IMD, similarly, noted a

E. EXPLAINED

The El Niño effect

This year, the IMD has forecast below-average rainfall during the ongoing southwest monsoon season mainly due to El Niño. The country-wide seasonal rain is expected to be 10 per cent short of normal. Except northeastern India, all other geographical regions of India will receive below normal rain during June-September. Climatologically, during El Niño years, northeast and extreme southern India receive normal rain while the rest of the country suffers below-normal rain. Due to subdued rain, the monsoon season may also see a spike in temperatures.

surge in the sea surface temperatures along both the Bay of Bengal and the Arabian Sea during May. “In comparison to sea surface temperatures recorded in April, positive (above normal) temperatures were predominantly evident along the eastern Indian Ocean, northern Arabian Sea and northern Bay of Bengal during May,” the IMD said.

Like El Niño in the Pacific

Ocean, India is also affected by its Indian Ocean counterpart, known as the Indian Ocean Dipole (IOD). This, too, has three phases : positive, neutral and negative. The IMD said that during the southwest monsoon season, IOD would continue to remain in the neutral phase. This phase commenced in early 2026 and is expected to remain so for most part of the year.

Since an episode of El Niño can last anywhere between a few months to up to two years, the peak of El Niño generally coincides with the winter season along the northern hemisphere. Over India, many El Niño years in the past have seen subdued monsoon rainfall and extreme temperatures. This year, the IMD has forecast below-average rainfall during the ongoing southwest monsoon season mainly due to El Niño. The country-wide seasonal rainfall is expected to be 10% short of normal. Except northeastern India, all other geographical regions of the country will receive below normal rainfall during June-September this year.

Climatologically, during El Niño years, northeast and extreme southern India receive normal rainfall while the rest of the country suffers below-normal rain. Due to subdued rainfall, the monsoon season may also see a spike in temperatures.

INQUIRY COMMISSION REPORT NOW MISSING, CASE REGISTERED THIS WEEK

Probe panel chief: Report on 2008 killing of VHP leader in Kandhamal ‘mentioned conversion, Naxal activity’

Sujit Bisoyi
Bhubaneswar, June 12

THE REPORT of the Justice A S Naidu Commission, which probed the circumstances surrounding the killing of Vishwa Hindu Parishad (VHP) leader Laxmanananda Saraswati and four of his disciples in Odisha’s Kandhamal district in August 2008, contained references to religious conversion among several factors that contributed to social tensions in the region, Justice Naidu told *The Indian Express*.

The two-volume report, running over 1,500 pages, was submitted to the Odisha government in December 2016. The commission examined around 300 witnesses and received 825 affidavits during the course of its inquiry. The alleged disappearance of the report from the Chief Minister’s Office during the transition of power in June 2024, when the current BJP government took over from the previous BJP regime, had triggered



Laxmanananda Saraswati’s killing in August 2008 led to communal violence in Kandhamal in which 39 people were killed. FILE

a political controversy, and a case was registered based on a complaint filed by the state government. This week, the Bhubaneswar-Cuttack Police Commissionerate initiated an investigation into the case.

Speaking to *The Indian Express*, Justice (retd) A S Naidu, who headed the one-member

commission, said the report referred to religious conversions among tribal and Scheduled Caste communities as one of the factors behind social tensions in Kandhamal.

“Religious conversion was only one of the issues examined by the commission. The report also dealt with Naxal activities,

social stigma, socio-economic issues, geographical isolation of tribal communities and disputes relating to the issuance of Scheduled Caste certificates,” Naidu said. The commission was tasked with throwing light on the circumstances that led to the killing of the VHP leader. Justice Naidu said the commission had highlighted “systemic failures” and made recommendations to the government to prevent similar incidents in future.

Laxmanananda Saraswati, who was 84 when he was killed, had been working in Kandhamal since the late 1960s and had established an ashram at Chakapada. The killing triggered large-scale communal violence in the district, leaving at least 39 people dead. A sessions court in Kandhamal in October 2013 convicted eight people in the VHP leader’s murder case, including Maoist leader P Rama Rao alias Uday, and sentenced them to rigorous imprisonment for life.

Justice Sarat Chandra Mohapatra was initially appointed

to head the inquiry into the circumstances that led to the killing, but Justice Naidu took over after Mohapatra’s death in 2012.

As part of the current investigation into the alleged disappearance of Justice Naidu’s probe report, sources said a special police team visited the state secretariat and recorded statements of officials. Police Commissioner S Dev Datta Singh said investigators were collecting evidence to determine when the reports went missing, who was responsible for their custody and whether there was any motive behind their disappearance. The issue has also sparked a political row. Odisha Revenue Minister Suresh Pujari accused the previous BJD government of “intentionally” making the reports disappear to conceal administrative lapses.

BJD leader Munna Khan questioned why the matter is being raised nearly two years later and alleged a political motive behind the BJP government’s action.

Four sites on Nicobar west coast identified for coral translocation, says Zoological Survey

Nikhil Ghanekar
New Delhi, June 12

CORAL COLONIES and giant clams that will be impacted due to the work on the transshipment port proposed at Galathea Bay as part of the Great Nicobar Island (GNI) mega project will be translocated to four sites on the west coast of the islands, the Zoological Survey of India (ZSI) has said.

ZSI informed this to the committee overseeing the implementation of biodiversity-related issues as part of the project’s environmental management plan during its fourth meeting, held on November 7, according to its minutes made public by the Andaman and Nicobar Island Integrated Development Corporation Ltd (ANIIDCO) on June 10.

The minutes stated that ZSI has identified “four new translocation sites on the west coast of Great Nicobar Islands and (will) undertake the translocation of coral colonies and Giant Clams from the project impact area as per EC (Environmental Clearance) and CRZ (Coastal Regulation Zone) clearance conditions prior to the commencement of project works”. Systematic data on “translocated colonies with GPS tags to each colony to monitor its survival” will be maintained, it added.

The biodiversity-related committee has been formed in compliance with the specific conditions laid down by the Environment Ministry while granting EC to the project. This committee is tasked with overseeing wildlife conservation plans and actions to mitigate the project’s impact on the endemic Nicobar Megapode, leatherback marine turtles, saltwater crocodiles, Nicobar Macaque, Robber Crab, coral translocation, and other birds found only on the island.

Two other committees, on pollution-related measures and to oversee welfare issues related to Shompen and Nicobarese

tribal communities, have also been formed. At the time of the project’s appraisal for EC, as well as during the challenge against the project before the National Green Tribunal (NGT), ZSI had submitted it would translocate 16,150 coral colonies from the peninsular part of Galathea Bay.

While the Centre has maintained that no corals are found on the eastern flank of Galathea Bay, which is the site of the transshipment port, this claim was contested before the NGT. The government’s maps and reports on the Island Coastal Regulation Zone (ICRZ) Plan were relied upon to show the presence of corals in the project area, and argue that their translocation is not a permissible activity under law.

However, the NGT, in its February 16 order this year, ruled that the ICRZ Notification, 2019, was not violated and directed the Centre to protect coral reefs along the coastal stretch, in compliance with the specific conditions laid down in the project’s EC. ZSI also said in the November 7 meeting that it will obtain approvals under the Wildlife Protection Act, 1972, before handling Schedule-I species, such as coral colonies and giant clams. Meanwhile, the Wildlife Institute of India, which has been entrusted with the conservation of Nicobar Megapode and Leatherback Turtles, said during the meeting that a survey had found 141 leatherback turtle nests. It did not specify the survey period. The committee’s biodiversity expert, Deepak Apte, suggested that satellite tagging of turtles should be prioritised to track their movements before the commencement of project work.

The Salim Ali Centre for Ornithology and Natural History informed the monitoring committee that a pilot survey of endemic and tree-cavity-nesting birds has been completed in GNI, while another on Coconut Crabs is currently in progress.

Content of national importance in I&B’s draft rules for TV, radio

Amrita Nayak Dutta
New Delhi, June 12

TV CHANNELS should air 30 minutes of content daily between 6 am and 11 pm on themes of national importance, private FM stations should broadcast at least an hour of programme of “social relevance”, and appointments of key managerial personnel should be made after security clearance: These are some of the draft rules the Information & Broadcasting (I&B) ministry has published for the telecommunications sector.

The draft Telecommunications (TV, Radio and Associated Services) Rules, 2026, consolidate various existing guidelines governing television, radio, and related services, replacing the regulatory framework that operated under the Telegraph Act of 1885. Stakeholders have been invited to submit comments on the draft rules by July 27.

The proposed rules will cover television channels, Direct-to-Home (DTH) services, Head-end-in-the-Sky (HITS) platforms, teleport, private FM radio, community radio stations, news agencies supplying footage to TV, and Internet Protocol TV (IPTV) services under the Telecommunications Act, 2023.

Stakeholders have been invited to submit comments to the draft rules by July 27

The rules mandate that TV channels should air at least 30 minutes of content every day on themes of national importance and social relevance between 6 am and 11 pm. The topics suggested range from education, agriculture and healthcare to science, women’s welfare, environmental protection and national integration.

TV channels would also be required to stay active throughout the validity of their authorisation, according to the draft rules. Channels going off air for more than 60 consecutive days must notify the government and provide an explanation of the reasons, they added. Their authorisation can lapse if operations remain suspended for over 90 continuous days. Private FM stations would need to broadcast at least an hour of programmes of “social relevance” while ensuring that at least 20% of their daily content is locally produced.

The rules state that private radio services must remain free-

to-air, emphasising they cannot charge listeners for access. The draft rules propose an authorisation period of 10 years for television channels, teleports, TV news agencies and community radio services, 15 years for private FM radio operators, and 20 years for TV channel distribution services. The draft rules state that the entities that already hold Internet service authorisations or multi-system operator registrations would be able to offer IPTV services after they file a declaration with the government, thus simplifying their market entry. IPTV enables the delivery of television content over internet protocol networks instead of transmitting over traditional terrestrial, satellite, or cable television formats. Significantly, the rules mandate broadcasters to disclose information related to “landing-page placements” to both the government and television ratings agencies.

Other compliance-related requirements include preservation of recordings of programmes and advertisements for 90 days by broadcasters and furnishing them to authorities when requested. The rules also state that any ownership switch that leads to key management changes would need government approval in advance.

One year after AI 171 crash, questions persist

JUNE 12 marked the first anniversary of the Air India flight AI 171 crash, which claimed 260 lives in Ahmedabad: 241 of the 242 people on board and 19 on the ground. Under international aviation norms, the final investigation report into an air disaster should be made public “as soon as possible and, if possible, within 12 months”. While this timeline is not legally binding, it seems that India’s Aircraft Accident Investigation Bureau (AAIB) will need more time to release its final findings about the Boeing 787 Dreamliner that crashed. At the same time, the information in the public domain, particularly the preliminary report released on July 12 last year, raises concerns about the handling of the case.

The first concern relates to the manner in which the AAIB released its preliminary report: At 1 am, unsigned, and without a press briefing at which questions could be addressed. The second pertains to the report’s content. It had only a single paraphrased exchange between the pilots regarding the fuel switches, rather than the full cockpit voice recorder transcript or audio. The limited information released and the questions left unanswered have fuelled speculation of pilot error. Meanwhile, Boeing and the 787 Dreamliner programme have faced recurring technical concerns, including lithium-ion battery failures, fuselage manufacturing defects, and electrical system problems. A US-based aviation safety advocacy group, citing whistleblower testimony submitted to the US Senate, alleged that the aircraft involved in the Ahmedabad crash had experienced multiple technical issues during its service life. Against this backdrop, the concerns raised by the Federation of Indian Pilots — selective disclosure of information, the apparent absence of key subject-matter experts from the investigation and an inadequate examination of a possible electrical or systems failure — deserve serious attention.

For the victims and their families, a rigorous and transparent investigation is the minimum that justice demands. Four families have filed lawsuits against Boeing and aircraft-parts manufacturer Honeywell, alleging negligence, while the father of one of the pilots has sought a court-monitored inquiry. These developments speak of erosion of confidence in the investigative process. Restoring that trust must be a priority. AAIB’s interim statement on Friday said the final report will be released “upon completion of all investigative activities”. The Civil Aviation Minister, too, has posted on X that the investigation continues. Every authority involved should ensure that no line of inquiry is left unexplored and no legitimate question goes unanswered. Establishing the truth about AI 171 is essential not only for accountability but also for aviation safety and public confidence. Until the final report is released, conclusions must remain guided by evidence, not conjecture.

Amid rising inflation, vigilance holds the key

IN RECENT weeks, there has been much concern over the direction of inflation in the economy and the implications for monetary policy. Last week, when the Monetary Policy Committee kept interest rates unchanged, the RBI pegged inflation at 5.1 per cent for the year, up from its earlier assessment of 4.6 per cent. For the first quarter, it had projected 4.2 per cent. The latest data from the National Statistics Office show that while retail inflation edged slightly upwards to 3.93 per cent in May, from 3.48 per cent in April, it was marginally lower than expectations. This also puts inflation in the quarter so far at 3.7 per cent, slightly lower than the central bank’s expectation.

Food inflation rose to 4.78 per cent, up from 4.2 per cent the month before, with tomatoes and ginger seeing a sharp surge. With weak rainfall delaying kharif planting, the outlook in this category is uncertain. In the non-food category, the rise in energy prices at the retail level (petrol, diesel, commercial LPG cylinders) seems to be reflecting in transportation — of goods and personal vehicles — and restaurants. Energy price adjustments are continuing — recently, domestic LPG prices were raised by Rs 29. Prices of other key inputs are expected to continue feeding inflationary pressures, while supply-chain and energy disruptions pose upside risks. Household inflation expectations are also firming up, with three-month and one-year-ahead expectations rising by 80 basis points and 50 basis points respectively.

The global environment continues to be in flux. On Thursday, the European Central Bank raised interest rates by 25 basis points amid concerns that the energy shock is beginning to spill over into the larger economy. Other central banks — the US Federal Reserve and the Bank of England — are scheduled to hold meetings next week. In the US, consumer prices rose at an annual rate of 4.2 per cent, complicating matters for the new Fed chair. The MPC’s next meeting will be in August. By then, there will probably be some indication of the flows being mopped up through the FCNR (B) route. Another month of price data will also be available, and there will be some clarity over the underlying growth momentum. These will shape the MPC’s decision.

The Ideas Page

SATURDAY, JUNE 13, 2026

Indian industry is at a crossroads. It needs to look at longer horizons



V ANANTHA NAGESWARAN

THE FIRST part of this article traced four structural roots of India's chronic underinvestment in research and development. Apart from them, two further explanations remain — one chronological, one generational — before the case for a different calculus.

The fifth explanation is chronological. The last 15 years have been among the most volatile in living memory. The financial crisis of 2008, the Eurozone debt crises through 2015, India's own balance-sheet reckoning as the infrastructure boom unwound, the Covid lockdowns, the Russia-Ukraine war's supply and energy shocks, and now the Trump administration's tariff turbulence — each arrived before the last had fully receded. To ask businesses to commit to decade-long R&D programmes in such an environment is to ask them to plant orchards in a forest fire. The rational response to compounding uncertainty is to preserve optionality and defer irreversible commitments. This does not excuse the deficit in Indian R&D, it contextualises it.

A more intimate explanation sits alongside the macroeconomic ones. Indian business, like business elsewhere, is predominantly a family affair. Family firms tend to follow a recognisable trajectory: The founder builds with hunger, the second generation consolidates, and by the third, the urgency has often dissipated.

Morck, Wolfenzon and Yeung, in the *Journal of Economic Literature* in 2005, documented the tendency of multigenerational control toward economic entrenchment — preserving inherited wealth rather than risking it — while Pérez-González, studying CEO successions in 2006, found performance and investment efficiency declining when a family heir took over rather than a professional. In India, this has acquired a post-pandemic inflection: The exceptional returns of financial markets have given third-generation families an effortless alternative to the capital-intensive work of manufacturing and R&D. The aggregate consequence is a quiet withdrawal of entrepreneurial energy from the domain India where most needs it.

Yet context, however illuminating, cannot be mistaken for exculpation. Indian industry stands at a juncture where the choice between short- and long-horizon thinking is no longer merely a matter of competitive positioning — it has become a question of strategic survival. India's ambitions for influence in a multipolar world depend on the technological and productive capabilities of its private sector. Strategic leverage in the 21st century is not purchased with diplomatic skill alone. It is underwritten by industrial capacity, by the ability to offer the world goods and services that others cannot readily replicate, and a position in global value chains that confers genuine bargaining power.

A private sector that captures domestic demand but remains technologically dependent — a consumer of intellectual property rather than a generator of it — is one whose future profitability is under slow but accumulating existential threat. As competitors from East Asia continue to climb the value chain, the space for Indian businesses that decline to invest in frontier capabilities will narrow. The business community has historically looked to the state to create conditions for prosperity. The state's obligations in this regard are not trivial. But the capacity for strategic influence is not the state's to create unilaterally. It depends on decisions taken in corporate boardrooms: About R&D budgets, talent, the willingness to absorb short-term costs in pursuit of long-run competitive advantage. National and shareholder interests converge in the long run. The private sector that fails to recognise this convergence will eventually discover it the hard way.

History, however, is not without encouragement, and the pattern of transformation is not unprecedented. Germany's *Mittelstand* — the dense ecosystem of mid-sized manufacturers with deep engineering capabilities — was forged through deliberate investment in technical education, patient capital from Hausbank relationships that insulated firms from quarterly market pressures, and a cultural commitment to *Qualität*. Japan's post-war industrial miracle rested on long-horizon corporate strategies, state-guided but privately executed investment in technological capability, and a willingness to absorb short-run losses in pursuit of competitive positions in the industries that would matter in the future. South Korea's chaebol, for all their well-documented governance imperfections, developed world-class semiconductor and shipbuilding capabilities through a willingness to invest at scale and over a duration that would have been impossible under the tyranny of the quarterly earnings cycle.

Each of these transformations was preceded by a recognition, often born of crisis, that the existing trajectory was insufficient and that the path to national prosperity ran through industrial capability, not around it. India is arguably at such a moment. The fracturing of the old globalisation, the imperative and the difficulty of supply-chain diversification away from China, the unprecedented window opened by a demographic dividend that is available but will not remain so indefinitely — these are not guarantees of transformation, but conditions that make it possible. The short horizon has served Indian business reasonably well in the long era of low-hanging domestic demand. The next era will belong to those who learn, perhaps not too late, to look further.

The writer, president, India Foundation, is with the BJP

The writer is chief economic advisor, Government of India



RAM RAJYA

BY RAM MADHAV

PRIME MINISTER Narendra Modi will be attending the G7 summit next week in France. India's association with the grouping began in 2003 — it was the G8 then — when Prime Minister Atal Bihari Vajpayee attended its annual meeting. His successor, Manmohan Singh, was invited to the summit five times. Modi has been attending the summit every year it has been held since 2019. India has been invited more than a dozen times to this group of the world's most industrialised nations, reflecting its growing importance in global affairs.

The US, the UK, West Germany, France, Italy, and Japan got together in 1975 to form the G6, which became the G7 a year later, in 1976, with Canada joining it. Russia joined in 1998, transforming it into the G8, until its expulsion in 2014 following the annexation of Crimea. The G8 was an influential economic power controlling over two-thirds of global GDP. But in the past two decades, the global economic landscape has transformed significantly. Countries like China, ASEAN nations, and India have emerged as new major economies. Meanwhile, the G7's share of global GDP has declined to roughly 40 per cent. However, its influence remains, given its leadership in advanced technologies, defence capabilities, green innovation, and cyber and space domains.

With stable democracies and

India at G7: From guest to strategic partner

rapidly growing economies, the G7 has an important place in New Delhi's scheme of things. India's advancements in technology and its large pool of skilled manpower also make it more attractive. Also, under Modi's leadership, India has emerged as the leading voice of the Global South. India has strategic agreements with the seven G7 members. The EU's presence at the summit in addition to the four individual European powers makes it effectively a Europe-dominated forum.

India-Europe relations have gained significant momentum in the past decade, driven by a recalibration of the country's foreign policy under Modi. India concluded an important FTA with the EU this year. A defining feature of India's new vision towards Europe is the concept of the Indo-Mediterranean — an emerging geostrategic framework connecting the Indian Ocean with Europe. This vision gained traction in 2023, when India, as G20 chair, launched the India-Middle East-Europe Economic Corridor (IMEC).

In May this year, during his visit to Rome, Modi, together with his Italian counterpart, Giorgia Meloni, jointly penned an op-ed, writing that "we are witnessing the emergence of what might be termed the Indo-Mediterranean, an important corridor for trade, technology, energy, data and ideas tying the Indian Ocean to Europe". Historically, India maintained deep commercial and cul-

tural ties with the Mediterranean and Arab worlds, trading in spices, textiles, and precious stones for centuries. The Indo-Mediterranean concept is the 21st-century version of this link.

Modi is investing heavily in achieving *atmanirbharta* – self-reliance in deep-tech and other frontier areas. India also needs massive industrialisation to address the growing employment needs of its youth. In realising those targets, Europe, with its capital and technology, will play a significant role. Modi understands this imperative, hence his efforts at engaging with various segments of the European community.

Modi also needs Europe on his side to tackle the restive Middle East. IMEC passes through the UAE and Saudi Arabia. The emerging *bonhomie* among Pakistan, Saudi Arabia, Turkey and Egypt could pose a challenge to that vision.

Unlike the Belt and Road Initiative, singularly spearheaded by China, the Indo-Mediterranean vision has a role for every participating nation. The Indo-Mediterranean vision could eventually give rise to an "Indo-Atlantic" strategic space as a western counterpart to the Indo-Pacific, redefining global strategic dynamics.

India's consistent presence at the G7 is not merely symbolic. It reflects its transformation from being a peripheral participant to a pivotal player in the emerging geopolitics of the world.

A defining feature of India's new vision towards Europe is the concept of the Indo-Mediterranean — an emerging geostrategic framework connecting the Indian Ocean with Europe



AVANI BANSAL

THE ANXIETIES surrounding examination irregularities, employment, farm incomes, and household finances are often discussed as distinct problems. Students protest paper leaks and recruitment delays. Young graduates worry about quality jobs. Farmers seek predictability in an increasingly uncertain environment. Families struggle with the rising costs of education, healthcare, and everyday living. But what if they are manifestations of the same underlying challenge?

For the past three decades, India's development story has been built upon a simple but powerful promise: If you work hard, ac-

quire skills, and play by the rules, you and your children will enjoy greater opportunities than the generation before you. That promise transformed India. Millions left villages for towns and cities. Families invested heavily in education. Access to schools, universities, and digital learning expanded.

This aspiration remains one of India's greatest strengths. But aspiration creates expectations. And expectations create a social contract. The anxieties we are witnessing today emerge when citizens begin to question whether the pathways to upward mobility remain as accessible and fair as they once appeared to be. Consider the recurring controversies about competitive examinations. For millions of young Indians, examinations are gateways to social mobility. Every paper leak, every recruitment delay,

and every perception of unfairness has consequences far beyond the immediate event.

Citizens do not experience the economy through growth rates alone. They experience it through their ability to find meaningful work, support their families, and build secure futures. Economic growth is essential, but growth that does not translate into broad-based opportunity creates anxiety. Similarly, farmers are not simply demanding support. Small business owners are not merely asking for incentives. They are seeking confidence about the future. Households

Do citizens still believe that hard work will be rewarded? Do they trust institutions to operate fairly?

are not only concerned about prices. They are concerned about whether tomorrow will feel more secure than today.

For years, political analysis has focussed on elections, ideology, identity, and leadership. Beneath these debates lies another set of questions: Do citizens still believe that hard work will be rewarded? Do they trust institutions to operate fairly? Do they believe their children will enjoy greater opportunities than they did? These questions may prove decisive in shaping India's next decade. The challenge is to ensure that institutions and policies keep pace with aspirations.

The priority must be to restore trust in merit. Examination systems, recruitment processes, and public institutions must be protected with the same seriousness with which we build roads, airports, and digital

infrastructure. Every major policy intervention should be evaluated through a simple lens: Will it expand access to quality jobs and economic mobility? India must focus on rebuilding economic security. People can adapt to hardships. What is far more difficult is navigating uncertainty without a sense of what lies ahead.

India's greatest long-term investment remains its people. But that demographic advantage is not automatic. It depends on education, skills, health, and the ability to convert potential into productive opportunity. For three decades, India has asked its citizens to believe that hard work expands opportunity. The next decade will determine whether that promise can be renewed.

The writer is a Supreme Court advocate

• HISTORY

The June 12 HC ruling that paved way for Emergency

Nikita Mohta
New Delhi, June 12

LATE ON the night of June 25, 1975, President Fakhruddin Ali Ahmed, acting on the recommendation of Prime Minister Indira Gandhi, proclaimed a state of Emergency, citing threats to the nation's internal security. But the trigger, according to historians, was a June 12 judgment of the Allahabad High Court, upholding a petition that charged her with corrupt practices in her 1971 parliamentary election.

The election case

Raj Narain, the socialist leader Indira Gandhi defeated in Rae Bareilly in 1971, had challenged her victory in the Allahabad HC. Known as the 'election case', the petition alleged that Gandhi had secured her win through corrupt practices, particularly by exceeding the legal limit on campaign spending and by using government officials and state machinery for support.

On March 19, 1975, Gandhi became the first Indian PM to testify in court. She spent five hours in the witness box, answering questions about her election campaign.

CONDITIONAL STAY

- The SC's conditional stay said the PM could attend Parliament, but neither vote nor draw a salary until her appeal was decided.
- Justice Sinha had noted that his ruling might ultimately prove weak, since the violations were not 'graver electoral vices'.

Justice Jagmohan Lal Sinha dismissed 12 of the 14 charges against Gandhi. In his 238-page ruling, he upheld two findings: first, that Yashpal Kapoor, Gandhi's former private secretary, had begun functioning as her election agent before formally resigning from government. Second, officials of the Uttar Pradesh government had assisted her campaign. Justice Sinha declared Gandhi's 1971 election void and barred her from contesting elections for six years. But he also granted her 20 days to appeal before the Supreme Court.

Reactions to the judgment

The day after the Allahabad HC verdict, Opposition leaders protested outside Rashtrapati Bhavan, demanding that the President dismiss the "corrupt" PM. Gandhi's supporters, however, moved swiftly to counter this campaign. Every day, more supporters gathered outside her house, and she came out to speak to them. She also addressed a massive rally at Delhi's Boat Club lawns.

On June 23, the SC began hearing Gandhi's appeal. The next day, Justice V R Krishna Iyer issued a conditional stay: the PM could continue to attend Parliament, but she could neither vote nor draw a salary until her appeal was decided by the full SC bench.

Some advised Gandhi to resign temporarily and allow a senior colleague, such as Jagjivan Ram, to serve as interim PM until the case was resolved. Those urging her to remain in office included her son Sanjay Gandhi and several Congress leaders.

Proclamation of Emergency

The same day, Ray helped draft an ordinance declaring a state of internal Emergency, which was promptly signed by the President. That night, the electricity supply to newspaper offices across Delhi was cut, preventing morning editions from appearing on June 26. By the next day, state-controlled radio informed the country that an Emergency had been declared and that civil liberties had been suspended.

• ECONOMY

Amid youth protests, a snapshot of India's employment rate over this decade



GRAPHS, DATA, PERSPECTIVES

BY UDIT MISRA

WEEKLY ECONOMIC AND POLICY INSIGHTS USING DATA

IN RECENT times, stories pointing to growing youth unrest have made headlines — be it the launch of an online youth-led pressure group or 18-year-olds poring over tenders to investigate the school examination set-up. These developments shift the focus from mere economic growth to job creation. These lines by writer Mokokoma Mokhonoana could well describe a prevalent sentiment: “If heaven really exists: then heaven is the job, hell is unemployment, while life is merely an interview.”

Employment data

Before getting into the subject of employment, a note on data. This explainer will use employment data from the Centre for Monitoring Indian Economy (CMIE), a leading private company.

The reason is that CMIE provides a continuous data series since 2016. The official data, released by surveys from India's Ministry of Statistics and Programme Implementation (MoSPI), have undergone many changes during this period.

Until 2011-12, MoSPI released Employment-Unemployment Surveys (EUS) once every five years. In 2017-18, MoSPI replaced it with the annual Periodic Labour Force Survey (PLFS). The very first PLFS in 2017-18 found that unemployment had hit a 45-year high, but the government ran it down for flawed methodology.

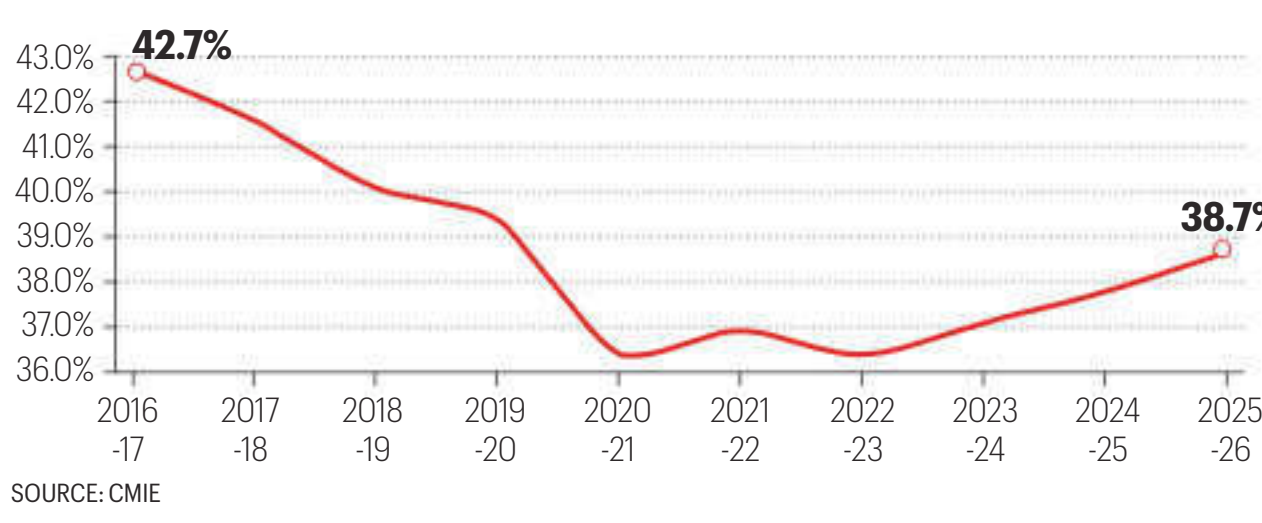
The employment rate is arguably the more important metric than the unemployment rate for India. Here is why.

Imagine the total population of a country to be 100. Suppose that only 60 are above the age of 15. They constitute the workforce. Say only 50 of these 60 are looking for a job; the other 10 could include people like a 22-year-old student, or a 30-year-old who is disillusioned and has stopped looking for a job. These 50 constitute the labour force.

Now, when the data shows that the unemployment rate (UER) is, say, 10%, that does not mean that only 10 people are un-

India's employment curve

The share of working-age people (15 years and above) with a job was 42.7% in 2016-17 and it is 38.7% at the end of March 2026.



employed. That's because the UER is calculated as a share of the total labour force. A 10% UER means 10% of 50, or five people who are looking for jobs but are unable to get them.

If these five people also opt out of the job market, the workforce will remain 60, but the labour force will shrink from 50 to 45. The UER rate will fall to 0%, without accurately

capturing the distress in the job market.

One way out is to look at the Employment Rate (ER). This is the number of people with a job as a percentage of the total working-age population. A rising ER shows that a higher percentage of people in a particular cohort have a job, bypassing labour force size fluctuations.

• DIPLOMACY

How trust underpins India's ties with France



SHUBHAJIT ROY

PRIME MINISTER Narendra Modi is headed to France over the weekend for a bilateral visit as well as the G7 leaders' summit. He will be in Nice on June 13 and 14, in Evian on June 16 and 17 for the summit, and in Paris on June 17 and 18.

This is the Prime Minister's seventh official visit to France since 2014 and follows French President Emmanuel Macron's visit to India on February 17-19, when bilateral relations were elevated to a "Special Global Strategic Partnership". France is one of India's most preferred partners in Europe, and the relationship, built on strategic autonomy and respect, has been a success story over the last several decades.

The forthcoming visit is a testament to New Delhi's durable ties with Paris.

What to expect from the bilateral visit...

The key thrust of the bilateral visit will be tech and innovation.

In Nice, Modi, alongside Macron, will inaugurate the Bharat Innovates event that brings together top innovation startups from India, France and the world. More than 120 Indian companies and startups, and prominent business leaders from France and other countries, are expected to participate in the event, being held during India-France Year of Innovation.

The Prime Minister will hold a bilateral summit with President Macron in Nice, the first since the elevation of ties to a "Special Global Strategic Partnership".

On June 18 in Paris, alongside Macron, Modi will attend the VivaTech Summit, Europe's largest technology and startup event. The Vivattech Summit will host an Indian pavilion, the largest one at the summit this year.

...and the G7 summit

The West Asia conflict has set off an energy crisis shock for India and the world and put the lives of Indians living in the region at risk. The recent US attacks on ships sailing through the Strait of Hormuz have killed Indian sailors.

With US President Donald Trump at-



Prime Minister Narendra Modi with French President Emmanuel Macron in Mumbai in February. X/@NARENDRAMODI

tending the G7 Summit, India has an opportunity to convey its concerns on a matter that has hit its security and economic interests.

In that context, France and Europe will be an important partner, as it is a common understanding that the continuation of the war is not in anyone's interest.

Ties defined by history...

To understand the durability of India-French ties, let's take the example of the famous French politician Jacques Chirac. In 1976, as India faced global criticism over Prime Minister Indira Gandhi's Emergency, the French Prime Minister agreed to be the chief guest at the Republic Day celebrations.

He returned as the Republic Day chief guest 22 years later, this time as President, and launched the Strategic Partnership with India. The Strategic Partnership was India's first with any Western nation, and France's first with a non-Western nation.

Just months later, in May, India conducted the Pokhran-II nuclear tests. Western powers criticised India and imposed sanctions — but France did not.

The visits are testament to French pragmatism and foresight in how it diplomati-

PM's itinerary

In Nice, Modi and Macron will inaugurate a startup event and hold a bilateral meet.

-

The PM will then head to Evian for the G7 Summit.

-

The next stop is Paris, where Modi and Macron will attend another startup and tech event.

cally managed the sensitive nature of the ties. The strongest link between the two countries, which has led to the innovation and tech partnership, is "strategic trust".

... and based on trust

Political understanding is extremely important, and that is visible at the highest levels. One of the prime examples of the leadership-level trust was displayed when India reached out to Macron at the last minute in December 2023 — after US President Joe Biden had declined the invitation for the Republic Day celebrations in January 2024. Then the Indian envoy to France reached out to Élysée Palace directly, and the French President didn't hesitate to bail out India, despite knowing fully well that he was Delhi's second choice.

The Indian Prime Minister returned the favour in 2025, when he headlined the AI summit in France.

The larger trust is on display again as India has again been invited for the G7 Summit in Evian on June 16-17. France believes that India's presence at the G7 reflects its standing as a leading voice of the Global South and a key partner in addressing shared global challenges.

Project delays

• The Rs 6,800 crore project, whose foundation stone was laid in May 2018, was expected to be completed by September 2026.

• But the Covid-19 pandemic, the 2024 terror attack on the workers at the Sonamarg tunnel, and extreme weather conditions delayed it.

The other key tunnel that keeps the Srinagar-Leh highway operational throughout the year — the Z-Morh tunnel or Sonamarg tunnel — was completed and thrown open for traffic in January last year.

What next

The Zojila tunnel project has several key

In fact, if one goes back in history, the French Presidency had invited India to participate in the G8 summit (Russia was expelled after the Crimea annexation in 2014, and the grouping became G7) for the first time ever in 2003. PM Atal Bihari Vajpayee attended the summit at the invitation of President Chirac.

France again invited India in 2019, and that was PM Modi's first G7 summit in Biarritz, France. Since then, India has been participating in the summits — this will be India's 13th participation at the G7 Summit and Prime Minister Modi's seventh consecutive participation at the meet.

A wide range of partnerships

At a time when the world has become unpredictable and volatility is the norm, trust has become a rare commodity. In the case of India and France, the strategic trust, built over years of the strategic partnership, has matured in fields as critical as defence, nuclear energy and space.

DEFENCE: The India-France defence collaborations run deep and wide, spanning the entire spectrum from air and naval assets to helicopter engines and missiles. Some flagship examples of cooperation include the Rafale aircraft, Scorpene submarines and Shakti helicopter engines.

SPACE: In this sector, there is the rich legacy of six-decade-old cooperation between ISRO and the French national space agency CNES. The highlights include joint launches, development of satellites such as Megha-Tropiques and SARAL, and collaboration in India's human spaceflight mission Gaganyaan. The two are also looking at another satellite mission, TRISHNA.

NUCLEAR: With the passing of the Sustainable Harnessing and Advancement of Nuclear Energy for Transforming India (SHANTI) Act, there is a great opportunity for collaboration among Indian and French industry. On Small Modular Reactors/Advanced Modular Reactors, India and France signed a Declaration of Intent on cooperation in this sector in February 2025.

TECH: Tech partnerships are built on a high-level of trust. As an Indian diplomat told *The Indian Express*: "One will never hand one's phone to a stranger or a person who one doesn't trust fully. The same holds true for high-level tech partnership, where high-level trust and confidence is needed between governments, systems and leaders. That's how the India and France tech partnership has matured."

tant for the forces, as it will boost manoeuvrability in case of hostilities with China on the Line of Actual Control in Ladakh or with Pakistan on the Line of Control in Kargil.

The all-weather road is a strategic lifeline that will facilitate the seamless movement of personnel, military hardware, fuel and daily supplies — ending the long-standing reliance on expensive and vulnerable airlifts. It is expected to significantly enhance military mobility by enabling quicker deployment of troops and equipment and reducing response times in the event of hostilities. It will also offer greater protection from enemy surveillance and artillery fire, vulnerabilities that were evident during the 1999 Kargil War when the key road link came under artillery fire.

The other key tunnel that keeps the Srinagar-Leh highway operational throughout the year — the Z-Morh tunnel or Sonamarg tunnel — was completed and thrown open for traffic in January last year.

components. Besides the main Zojila tunnel are two smaller ones — one 457 metres long and the other 1,953 metres long — at Nilgiri.

The larger Zojila project also comprises four bridges, an approach road from Sonamarg tunnel to Zojila tunnel, three vertical shafts — structures that provide ventilation and emergency access to the tunnel as it has no separate escape tunnel — and seven "cut-and-cover" (tunnel-like) structures. Most of these projects have already been completed.

"What is remaining is the balance works in the vertical shafts, we have already made the hole and have to widen 6.6 metres. It is the most challenging job we are up to and we expect it to complete in one-and-a-half years," said Colonel A K Shivkumar, Zojila tunnel's Project Manager.

"We also have to do the balance work for the main tunnel. We have completed the inner concrete lining for 3 km and the rest of the stretch is expected to be completed in a year. In addition to this, we have to build a drainage system and set up a ventilation system, electrical system and a fire-fighting system," he added.

Decrease over decade

As the chart shows, the percentage of working-age people with a job fell within the last decade. According to CMIE, around 406 million Indians had a job in 2016-17, and in 2025-26, this number rose to 438 million. But this was not enough because the underlying working-age population grew faster.

For men, the ER has fallen from 70.5% to 64.8%, and for women, from 11.8% to 9.4% over the same period. This fall has occurred in all except two major age groups — 25 to 29 years and 55 to 59 years.

CMIE data also shows that in terms of educational attainments, all groups show a lower ER now than a decade ago. The cohort with only primary education has seen the sharpest decline in ER. In terms of religion and caste, too, most groups are worse-off.

Conclusion

The ER data shows that while things may be improving from the lows of 2020 and 2021, broadly, a lower percentage of people hold a job now than a decade ago.

Often, governments focus on growth rates as the metric for success. To some extent, this is justified because GDP increase

shows that the total market price of all the goods and services produced in a country is growing. But it may not be a sufficient condition for all-around improvement.

Academics such as Ashoka Mody (who wrote the book *India is Broken*) have argued that India should be paying greater attention to job creation. India's growth model seems to be failing Indians where it matters most: Creating jobs and boosting incomes commensurate with overall GDP growth. This predates the current government, although the situation has worsened over the decade in many ways.

During this period, many countries have also turned more insular on trade and immigration — think US President Donald Trump's ill-advised tariff mania. A world less open to trade hurts countries such as India, which have an ambitious goal ahead of them.

When the famous science fiction writer Arthur C Clarke wrote that "the goal of the future is full unemployment", his hope was "so we can play." In India, "unemployment" evokes a far more distressing future.

FULL REPORT ON
WWW.INDIANEXPRESS.COM/EXPLAINED

FOOD INFLATION ROSE TO 4.78% IN MAY, FROM 4.2% IN APRIL

Food prices rise in May, propel household inflation to 3.93%

Inflation for the ‘restaurant and accommodation services’ category increased further to 5.75% in May

Siddharth Upasani
New Delhi, June 12

CONSUMER PRICES in India rose 3.93% in May compared to a year ago as producers continued to pass on more of their input cost increases to households, according to data released on Friday by the Ministry of Statistics and Programme Implementation (MoSPI).

Higher food prices also drove up the overall inflation rate, with the Consumer Food Price Index rising 0.92% month-on-month in May as against a 0.75% increase in the overall CPI.

At 3.93%, the May headline inflation rate, as measured by the Consumer Price Index (CPI), is higher than the 3.48% recorded in April.

Inflation, which is the year-on-year change in prices, has now risen every month in 2026.

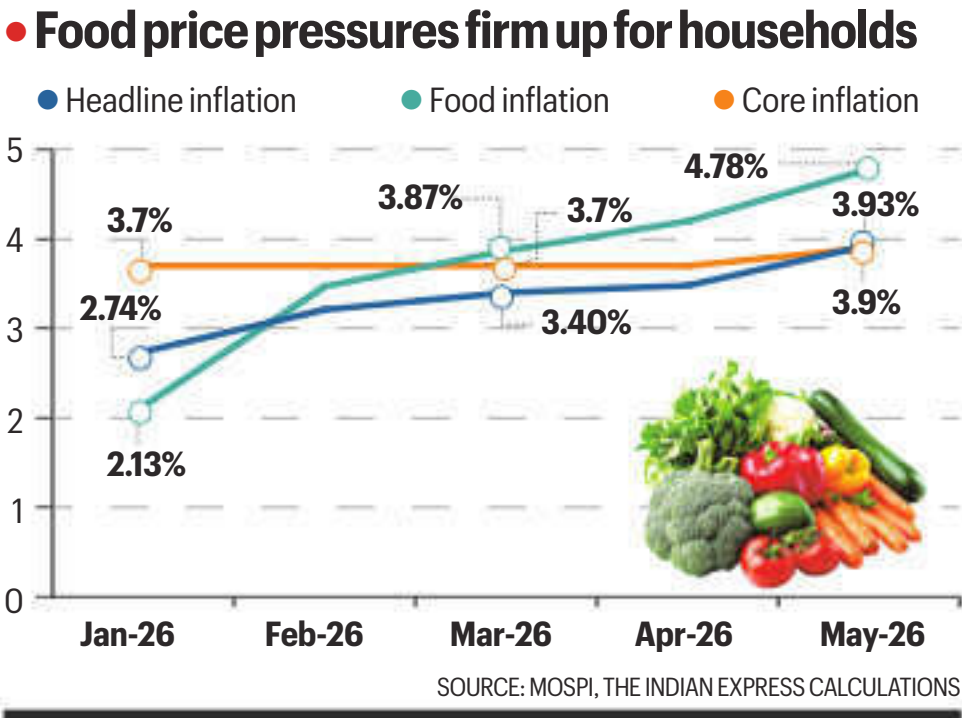
And economists expect it to rise again in June to around 4.5%. “Geopolitical tensions and El Nino conditions continue to remain upside risks to inflation,” said Megha Arora, Director at India Ratings & Research. While crude oil prices have declined on reports of the US and Iran reaching an agree-

ment over the opening of the Strait of Hormuz, “it will take time for crude prices to move towards \$70/bbl”, a level seen before the West Asia war.

After having risen to 4.2% in April from 2.9% in March, inflation for the ‘restaurant and accommodation services’ category increased further to 5.75% in May, reflecting the impact of eateries raising menu prices due to hikes in commercial LPG prices amid West Asia war. The increase in prices of ‘restaurant and accommodation services’ in May compared to April was 1.8%.

Meanwhile, overall food inflation rose to 4.78% from 4.2% in April, with Radhika Rao, Senior Economist at DBS Bank, reasoning that “heat-wave conditions in some parts of the country” pushed up food prices. According to Rajeev Sharan, Head of Research at Brickwork Ratings, while the May inflation print is broadly in line with expectations, the rise in food inflation “underscores persistent price pressures in perishables, particularly tomatoes, ginger and other vegetables”.

Tomato prices were 48% higher year-on-year in May,



while ginger was up 32%. The corresponding figures for April were 35% and 14%, respectively. The rise in food prices in May will be of concern to policymakers, with the monsoon this year forecast to be 10% weaker than the Long Period Average.

“Rising input costs for producers — reflected in the Wholesale Price Index inflation of 8.3% in April — are now increasingly feeding into consumer prices. The impact of the West Asia conflict, which has now entered its fourth month in June, is therefore starting to percolate household budgets,” said Dipti Deshpande, Principal Economist at Crisil.

The increase in CPI inflation comes a week after the Reserve Bank of India’s (RBI) rate

setting panel, Monetary Policy Committee (MPC), left the policy repo rate unchanged at 5.25%, with the central bank lowering its growth forecast and raising its inflation view for 2026-27.

On June 5, the RBI cut its GDP growth forecast for 2026-27 to 6.6% from 6.9% and raised the inflation projection to 5.1% from 4.6%, with Governor Sanjay Malhotra warning there are indications that average crude oil prices this financial year would be “substantially higher” than \$85 per barrel.

As per the RBI’s latest forecasts, inflation is seen averaging 4.2% in April-June, 5.1% in July-September, 5.9% in October-December, and 5.4% in January-March 2027.

Over April-May, CPI inflation has averaged 3.7%. The

RBI is mandated to target a CPI inflation of 4% in the medium-term in a range of 2-6%. As such, the forecasts show inflation reaching the upper bound of the RBI’s target range in the last three months of 2026.

“Our assessment is that headline retail inflation could breach 6% at some point over the next six months,” said Sujan Hajra, Chief Economist at Anand Rathi Group. “Even so, the RBI may refrain from adopting a decisively hawkish stance, provided core inflation remains anchored around 4% and inflationary pressures do not become broad-based.”

The RBI expects core inflation to average 4.7% in 2026-27. In May, core inflation rose to 3.9% after having stayed steady at 3.7% in the first four months of 2026. Core inflation measures the change in prices of non-food, non-fuel items, whose prices can be volatile. The movement in prices of non-food, non-fuel items, therefore, are seen as an indicator of underlying price pressures in the economy.

Economists warn that the second-round effects of fuel price hikes are expected to intensify across non-food items.

“Moreover, domestic LPG cylinder prices were raised by Rs 29/cylinder in early-June which is also likely to exert some pressure on the headline CPI print in the month,” said Rahul Agrawal, Principal Economist at ICRA.

MARKET REFORM PUSH BY REGULATOR

Corporate governance, delisting & KYC norms under review: SEBI chief

George Mathew
Mumbai, June 12

The Securities and Exchange Board of India (SEBI) is undertaking a comprehensive review of several key market regulations, including the Listing Obligations and Disclosure Requirements (LODR) framework, delisting norms, derivatives markets, framework for independent directors (IDs), short selling and KYC norms for foreign investors and NRIs, as part of a broader effort to strengthen corporate governance, deepen capital markets and enhance investor confidence, Chairman Tuhin Kanta Pandey said.

The LODR framework is currently under review to make it more responsive to emerging governance and disclosure requirements, Pandey said.

“We will also review the delisting framework further. A well-developed capital market must provide fair entry and fair exit,” he said.

“Independent Directors play a crucial role in corporate governance. Their role is not limited to asking difficult questions on governance. They must contribute in board discussions on how best to address emerging challenges, such as, AI, cybersecurity, ESG, R&D, and rapid technological change,” Pandey said at the ET Now market summit.

At the same time, they must protect minority shareholder interests and support long-term value creation. SEBI will, therefore, work with all stakeholders to build a robust, scalable network for capacity building of Independent Directors, he said. For foreign investors, SEBI will continue to ease access through simplifying KYC and a risk-based review of disclosure requirements.

● SEBI’s proposals

- Reviewing the delisting framework
- Mulling scalable network for capacity building of Independent Directors
- Reviewing the Innovators Growth Platform so that strategic sectors like AI, semiconductors, clean energy, bio-tech, advanced materials, defence-tech can access markets better for long-term capital
- Guidelines on the responsible use of AI in capital markets
- Municipal debt and portfolio management services are also being reviewed
- Derivatives on bond indices in consultation with RBI
- Securities Lending and Borrowing and short selling frameworks to be reviewed
- Simplifying KYC and a risk-based review of disclosure norms for foreign investors
- Phased shift from cash settlement to physical settlement in select agri-commodity contracts



“We will work with other regulators to ease the KYC process for NRIs. Our efforts will be to provide clarity that global capital seeks, especially in uncertain times,” he said.

Pandey said deepening the cash market is a priority. The Securities Lending and Borrowing and short selling frameworks are being comprehensively reviewed, to facilitate inter-linkage between the cash and derivatives markets and enhance liquidity, he said.

In commodity derivatives, SEBI’s proposals on extending early pay-in benefits to options contracts, phased shift from cash settlement to physical settlement in select agri-commodity contracts, and review of

position limits are aimed at deepening participation and strengthening risk management, he said.

Electricity derivative contracts are being traded on our exchanges now. Longer-term and newer forms of contracts in this space will be required going forward.

“We will also be looking to bring in, along with RBI, derivatives on bond indices,” Pandey said. “We are reviewing the Innovators Growth Platform so that strategic sectors like AI, semiconductors, clean energy, bio-tech, advanced materials, defence-tech can access our markets better for long-term capital,” he said. **FULL REPORT ON** WWW.INDIANEXPRESS.COM

● BRIEFLY

India’s forex reserves drop \$711 mn: RBI

Mumbai: India’s forex reserves dropped \$711 million to \$681.610 billion during the week ended June 5 due to a sharp decline in foreign currency reserves, the RBI said on Friday. In the previous reporting week, the overall reserves had jumped \$938 million to \$682.321 billion. For the week ended June 5, foreign currency assets — a major component of the reserves — was down \$2.704 billion to \$543.444 billion. PTI

‘India willing to let fiscal deficit widen to 4.8% of GDP for FY27’

New Delhi: India is preparing for a wider-than-expected budget deficit this year, Bloomberg News reported on Friday, citing an official familiar with the matter, as the war in Iran raises fuel subsidy costs and pressures government finances. *Reuters* could not immediately verify the report and has sought comment from India’s finance ministry. REUTERS

‘EITHER FIGHT, OR DON’T FIGHT... WE ARE FED UP’

Whipsawed between fear and relief, Iranians wait for war’s end

Farnaz Fassihi
June 12

FOR DAYS, Iranians have gone to bed hearing the sounds of explosions or reports that their country and the United States were trading fire. And then they have awakened to news that the attacks had concluded and negotiations for a peace deal were still ongoing.

On Thursday, the pendulum again swung wildly — within a few hours. First, President Donald Trump threatened to hit Iran “VERY HARD” and take over Kharg Island, Iran’s oil export hub. Then he abruptly canceled attacks because, he said, progress had been made in peace negotiations. Between the president’s two statements, Iran’s armed forces had threatened retaliation against energy infrastructure in the region if attacked. For ordinary Iranians, the constant vacillation between fear and relief, anxiety and hope, has been emotionally taxing. In phone interviews and text messages, some said that they just wanted the war to end, one way or another.

“They go to war at night. They stop the war by morning. It’s all ridiculous,” said Vahid, a 37-year-old resident of Tehran, Iran, who, like most ordinary Iranians interviewed, asked that his last name not be used for fear of retribution.



People attend Friday prayers in Tehran. REUTERS

“Either fight or don’t fight,” he added. “We are fed up.”

Streams of people flowed out of Tehran, the capital, on Thursday in reaction to Trump’s threats. The three main roads leading north out of the city toward the coasts of the Caspian Sea were jammed with traffic, the deputy police chief told local news media. Reza, a 48-year-old manager of a company, and his wife decided to take a weekend trip to the north and wait out the latest wave of tensions, he said in a phone interview. He said they worried the United States could

strike civilian infrastructure, a concern fuelled by a recent strike in the south, which destroyed a facility that a *New York Times* analysis found appeared to be for drinking water.

“Work is very slow, businesses are paralyzed because of fluctuating prices, it feels like our life is on hold right now,” Reza said. In addition to concerns about their safety in the event of another all-out war, Iranians who were interviewed said they worried the economy would further collapse if the conflict remained in limbo. They say that

if tit-for-tat strikes become the norm and the naval blockade against Iran’s ports continues, daily life will become even harder. In his post calling off planned strikes, Trump said the blockade would “remain in full force and effect” until a deal was reached. Mahasti, a 65-year-old resident of Tehran working in the health sector, said that was as bad as bombs being dropped, because the disruptions to trade and the curtailment of Iran’s oil revenues were slowly deteriorating many Iranians’ quality of life. NYT

Hezbollah leaders confident any US-Iran deal will include Lebanon

Reuters
Beirut, June 12

HEZBOLLAH IS confident that Iran will insist on Lebanon being included in a deal with the United States, a leading Hezbollah politician said on Friday, as hopes grew for an agreement between Tehran and Washington.

Hezbollah, founded by Iran’s Revolutionary Guards in 1982, entered the regional conflict in support of Tehran on March 2, opening fire at Israel and prompting an Israeli offensive that has killed thousands of people in Lebanon. Iranian officials have repeatedly insisted on an end to fighting in Lebanon as part of any wider agreement.

“If the agreement happens, we have complete confidence in the Islamic Republic ... we have confidence that it will insist on any agreement including the file of Lebanon,” Hassan Fadlallah, a Hezbollah politician, said in a speech. Israeli forces have occupied swathes of southern Lebanon, where National News Agency reported new Israeli airstrikes in several towns and villages on Friday.

Ebola outbreak spreads to crowded relief camp in east Congo: UNHCR

Reuters
Nairobi, June 12

THE UN refugee agency confirmed the first Ebola-related deaths in a displacement camp in eastern Congo, as aid workers warned of a high risk the disease could spread rapidly in overcrowded sites.

The two victims were internally displaced people living in the Kpangba camp, which hosts 30,000 internally displaced people, the UNHCR said in a report published on Thursday.

The virus has now spread across three provinces since the World Health Organization declared the outbreak a public health emergency of international concern on May 17.

The affected provinces - Ituri, South Kivu and North Kivu - have been devastated by decades of conflict and are home to more than 5 million displaced people. A Congolese health min-



A woman stands near a relief camp in Bunia on Friday. REUTERS

istry report seen by Reuters showed that a 60-year-old woman in the camp tested positive for Ebola on May 30. By then, she had broken out of quarantine and could not be traced by teams, the report said.

She died on May 31 and her daughter died on June 1, an aid worker with knowledge of the

cases told Reuters, adding that their bodies had both tested positive for Ebola after their deaths. Humanitarian workers later discovered the bodies, but community members began pelting WHO vehicles, the source said. Mistrust of aid groups has been widespread in the outbreak in Congo.

These individuals are being removed from the United States and abandoned in a country where they have no status, no connection and no support network. We fear they will ultimately be forced to return to the countries they originally fled."